

Pinellas County, Florida
NOTES TO THE FINANCIAL STATEMENTS
September 30, 2025

B. Changes in long-term obligations for the fiscal year were as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Claims and judgments	\$ 42,919,880	\$ 138,563,636	\$ (136,151,286)	\$ 45,332,230	\$ 19,010,121
Compensated absences	79,673,457	45,045,527	(51,566,481)	73,152,503	46,009,354
Lease obligations	30,540,960	17,832,738	(21,211,232)	27,162,466	3,607,866
Subscription based information technology arrangements	5,077,200	8,793,194	(2,484,746)	11,385,648	3,703,220
Total governmental activities long-term obligations	<u>\$ 158,211,497</u>	<u>\$ 210,235,095</u>	<u>\$ (211,413,745)</u>	<u>\$ 157,032,847</u>	<u>\$ 72,330,561</u>
Business-type activities:					
Notes from direct placements	69,419,000	-	(12,175,000)	57,244,000	-
Closure care costs	58,413,999	5,674,483	-	64,088,482	-
Compensated absences	4,767,561	2,193,329	(3,422,967)	3,537,923	3,046,152
Subscription based information technology agreements	6,204,100	34,571	(1,247,081)	4,991,590	1,251,455
Total business-type activities long-term obligations	<u>\$ 138,804,660</u>	<u>\$ 7,902,383</u>	<u>\$ (16,845,048)</u>	<u>\$ 129,861,995</u>	<u>\$ 4,297,607</u>

Net pension liability of \$523,165,043, consisting of governmental activities of \$496,590,986 and business type activities of \$26,574,057, and other post employment benefits liability of \$453,767,094 consisting of governmental activities of \$436,817,830 and business type activities of \$16,949,263 are excluded from the long-term obligations table above, yet are included in the long-term liabilities balance on the Statement of Net Position. The detail of those liabilities are included in Note 15 and Note 16 respectively. Additionally, pollution remediation obligations consisting of \$10,229,000 of governmental activities are excluded from the table above but are included in the long-term liabilities balance on the Statement of Net Position. Pollution remediation obligations are described in Note 18.

Within the business-type activities, the Sewer Revenue Bonds and Notes from direct placement are payable from and secured by a first lien upon and a pledge of the net revenues derived from the operation of the Sewer System. The reserve fund requirement has been met through the purchase of surety bonds. The following terms specified in the debt agreements are related to events of default with finance-related consequences. Failure to pay amounts when due, which could lead to a Default Rate of interest being applied to the outstanding amount due until paid. The highest of the default rates is 4% over the base rate. There is insurance through surety bonds that pay the bondholders where the County fails to do so. In the event that insurance pays, the surety has full control over where the system revenues will flow until the amounts paid by the surety are repaid. In the event that tax-exempt debt is later determined to be taxable to the bondholders, in whole or in part, amounts due increase by additions in tax, interest and penalties, and any arrears in interest that are required to be paid to the United States of America by the bondholder or former bondholders. All such additional interest, additions to tax, penalties and interest shall be paid by the County within sixty (60) days following the Determination of Taxability and demand by the Bondholder.

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E. Subscription Based Information Technology Arrangements Payable

The County records the value of the right-to-use subscription IT assets in accordance with GASB Statement No. 96, Subscription-Based Information Technology Arrangements (SBITA). The right-to-use subscription IT asset is amortized each year for the term of the contract or useful life of the underlying asset. The County recognizes SBITA liabilities with an initial, individual value of \$50,000 or more. At September 30, 2025, the County has twenty-eight qualifying SBITAs.

The interest rate on these SBITAs range from 2.65% - 3.46%. Due dates range from November 2025 to July 2030.

The remaining principal and interest payments requirements for the SBITA obligation debt as of September 30, 2025, are as follows:

Fiscal year ending	Governmental Activities		Business-type Activities	
	Principal	Interest	Principal	Interest
2026	\$ 3,703,220	\$ 258,357	\$ 1,251,455	\$ 141,797
2027	3,349,499	156,608	1,292,084	101,169
2028	2,129,382	87,516	1,316,030	59,262
2029	1,864,964	35,270	1,132,021	16,745
2030	338,583	3,017	—	—
	<u>\$ 11,385,648</u>	<u>\$ 540,768</u>	<u>\$ 4,991,590</u>	<u>\$ 318,973</u>

COMPONENT UNITS

A. Changes in long-term obligations for the fiscal year were as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Housing Finance Authority					
Bonds payable	\$ 89,344,196	\$ 48,353,039	\$ (5,916,195)	\$ 131,781,040	\$ 1,735,000
Due to other governments	1,008,684	-	-	1,008,684	-
Other liabilities	4,286,969	20,219	(82,833)	4,224,355	-
Lease liability	169,809	-	(46,010)	123,799	50,344
Planning Council					
Compensated absences	254,091	450	-	254,541	88,418
Lease liability	569,204	-	(74,234)	494,970	80,182
Total component unit long-term obligations	<u>\$ 95,632,953</u>	<u>\$ 48,373,708</u>	<u>\$ (6,119,272)</u>	<u>\$ 137,887,389</u>	<u>\$ 1,953,944</u>

Net pension liability and other post employment benefits are excluded from the long-term obligations table above, yet are included in the long-term liabilities balance on the Statement of Net Position. The detail of those liabilities are included in Note 15 and Note 16 respectively.

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